

year, starting with the next pay increase. Even with the aggressive strategy of increasing saving rates, the SMTP proved to be extremely popular with the participants. Of the 207 participants who were unwilling to accept the saving rate proposed by the investment consultant, 162 (78 percent) agreed to join the SMTP.

The majority of these participants did not change their minds once the saving increases took place. Only four participants (2 percent) dropped out of the plan prior to the second pay raise, with 29 more (18 percent) dropping out between the second and third pay raises. Hence, the vast majority of the participants (80 percent) remained in the plan through three pay raises. Furthermore, even those who withdrew from the plan did not reduce their contribution rates to the original levels; they merely stopped the future increases from taking place. So, even these workers are saving significantly more than they were before joining the plan.

The key lesson here is that people are generally poor at planning and saving for retirement. They need to have self-discipline imposed on them consistently in order to achieve savings.

Implications for Investors

As previously noted, the primary issue with regard to self-control is the lack of ability to save for retirement. In addition, there are several other self-control behaviors that can cause investment mistakes. We summarize some of these in the feature box.

SELF-CONTROL BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Self-control bias can cause investors to spend more today at the expense of saving for tomorrow. This behavior can be hazardous to one's wealth, because retirement can arrive too quickly for investors to have saved enough. Frequently, then, people incur inappropriate degrees of risk in their portfolios in effort to make up for lost time. This can, of course, aggravate the problem.
2. Self-control bias may cause investors to fail to plan for retirement. Studies have shown that people who do not plan for retirement are far less likely to retire securely than those who do plan. Studies have shown that people who do not plan for retirement are also less likely to invest in equity securities.

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